“What Do We Do With Mom's Money Now?”

Questions families ask while they're paying for care, with plain general answers and who can answer for Mom.

You're not the first family to pay a parent's care bill and wonder what the rules are about her savings. These are the questions that come up most, answered in general terms.

None of the answers is about Mom in particular. Several of these questions don't have a general answer at all, because the rules vary by state and by situation. Where that's so, the answer says so and names who to ask.

1 Do we really have to spend all of Mom's money before Medicaid can help?

There isn't one answer for every family. The Administration for Community Living's general description is that a person must have limited income and assets to be eligible for Medicaid. It adds that when a state looks at assets, some are counted and others are excluded, and Medicare.gov notes that Medicaid programs vary from state to state. What that comes to for Mom depends on her state, what she owns and how it's owned, and whether she's married. [1] [2]

> **ASK A PROFESSIONAL WHEN** someone is getting ready to act on “it all has to be spent.” Bring the question to your Medicaid planner first.

2 What do people mean by “spend-down”?

Usually they mean a person's savings going down as care is paid for. Medicare.gov uses the phrase that way: someone paying out of pocket in a nursing home “may eventually ‘spend down’” their assets. People also use it loosely, and not always to mean the same thing. The phrase alone doesn't say how much, or of what. [2]

> **ASK A PROFESSIONAL WHEN** you want to know what it would mean for Mom. That depends on her state and her situation, and it's a question for your Medicaid planner.

3 Why does everyone seem to have a different rule?

Partly because the rules do differ. Medicaid is a joint federal and state program, the states run it day to day and decide who is eligible, and Medicaid programs vary from state to state. The Administration for Community Living also notes that surveys find common misunderstandings about which public programs pay for long-term care. A rule that was true for a neighbor's family may not be the rule for Mom. [3] [2] [4]

> **ASK A PROFESSIONAL WHEN** you've been told something that would lead you to spend, move or give away money. Write down what was said and who said it, and ask before acting on it.

4 Are there permissible ways to preserve some of Mom's assets?

That is a question about Mom's situation, and a page can't answer it. What can be said in general is that a state doesn't treat every asset the same way: some are counted and others are excluded, and the assessment can be fairly complex, depending on how much and what kind of assets a person has. The Consumer Financial Protection Bureau's guide for people who manage a relative's money says to get legal advice and be very careful about decisions that may affect Medicaid eligibility. [1] [5]

> **ASK A PROFESSIONAL WHEN** anyone proposes a way to preserve or protect something. On this roadmap, your Medicaid planner looks at how Medicaid rules may apply, an elder law attorney reviews anything legal, and a licensed insurance or financial professional reviews any product.

5 Mom is married, and her spouse still lives at home. Does that change things?

It changes the questions. Medicaid.gov describes federal provisions meant to prevent "spousal impoverishment," which it describes as leaving the spouse at home with little or no income or resources. Under them, it says, a certain amount of the couple's combined resources is protected for the spouse living in the community. How much, and how it applies to a particular couple, isn't something a general answer can give. [6]

> **ASK A PROFESSIONAL WHEN** there is a spouse at home. Bring the spouse's income, the housing costs, and a list of what the two of them own and in whose name.

6 What should we do with the money before applying for Medicaid?

A page can't tell you that, and a rule passed along by a relative can't either. What to do, and when to apply, depend on Mom's facts: the Administration for Community Living says the best time to apply depends on a person's medical situation, marital status and the complexity of their finances. What you can do in the meantime is keep the picture on paper: what care costs, what comes in, what is paying the difference, and every money decision made or being talked about. [3]

> **ASK A PROFESSIONAL WHEN** a decision about Mom's money is in front of you and you aren't sure whose question it is. Start with your Medicaid planner.

7 Money has already changed hands in the family. What do we do about it?

Write it down: the date, the amount, who it went to and what it was for. Medicaid.gov describes a federal rule concerning people who need long-term care and have transferred, sold or gifted assets for less than they are worth. What that rule would mean for one particular gift or repayment depends on the facts and the state. Putting something on the list doesn't mean it was a mistake. It means the professional sees the whole picture. [7] [5]

> **ASK A PROFESSIONAL WHEN** there is anything on that list, or something is about to go on it. Bring the list and whatever paper goes with each item.

8 Someone suggested an annuity or another financial product. What should we know?

An annuity is a contract in which a person gives an insurance company money that is later paid back over time. The National Council on Aging's advice is to talk to a professional before buying one, and to understand how the payments work and what fees and withdrawal limits apply. The Consumer Financial Protection Bureau adds that titles like “senior specialist” don't always mean someone is qualified, and suggests checking an adviser's background and asking for the fees in writing. How any product would be treated by Medicaid is not a question with a general answer. [8] [9] [10]

> **ASK A PROFESSIONAL WHEN** a product is being suggested for Mom. Ask a licensed insurance or financial professional about the product, and ask your Medicaid planner how it would fit with Medicaid in her state, before anything is signed.

9 What records should we be keeping?

More than feels necessary. The Consumer Financial Protection Bureau's guide says to keep a detailed list of everything received or spent, with amounts, dates, reasons and the names of the people or companies involved, and to keep receipts and notes even for small expenses. An application for Medicaid asks for documentation of what a person has, so it helps to keep the statements, receipts and contracts in one place. [5] [1]

> **ASK A PROFESSIONAL WHEN** a paper is missing and you don't know whether it matters. Note that it's missing and mention it.

10 Who can actually answer our questions about Mom's money?

It depends on the question. On this roadmap, your Medicaid planner looks at how Medicaid rules may apply to what your family is considering and coordinates with the others. Legal advice and legal documents belong to an elder law attorney; the Administration for Community Living lists exploring a person's qualifications for Medicaid among the things elder law attorneys do. Insurance and financial products belong to licensed professionals. The state Medicaid agency is the one that decides eligibility. [11] [3]

> **ASK A PROFESSIONAL WHEN** you can't tell which kind of professional a question belongs to. Write “not sure” beside it and ask your Medicaid planner.

What this guide doesn't do

It doesn't answer any question about Mom herself, and it doesn't state a limit, a figure or a deadline. Anything that depends on her state, on what she owns or on a decision in front of you needs a professional who knows her situation. Nothing here is legal, financial or tax advice.

Ready for the next step?

You know which of your questions have a general answer, and which need someone who knows Mom's state and her situation. The planning interview is where the questions become about your family: it asks about your situation and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

1. Administration for Community Living (LongTermCare.gov), Medicaid Eligibility
2. Medicare.gov (Centers for Medicare & Medicaid Services), How can I pay for nursing home care?
3. Administration for Community Living (LongTermCare.gov), Applying for Medicaid

4. Administration for Community Living (LongTermCare.gov), Who Pays for Long-Term Care?
5. Consumer Financial Protection Bureau, Managing Someone Else's Money: Help for agents under a power of attorney
6. Centers for Medicare & Medicaid Services (Medicaid.gov), Spousal Impoverishment
7. Centers for Medicare & Medicaid Services (Medicaid.gov), Eligibility Policy
8. Administration for Community Living (LongTermCare.gov), Glossary
9. National Council on Aging, What Is an Annuity? Types, Costs, Benefits, and Risks
10. Consumer Financial Protection Bureau, Know your financial adviser
11. Administration for Community Living (LongTermCare.gov), Will I Need a Lawyer?
